

PHARMACEUTICALS · TRADE · STRATEGIC ANALYSIS

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The Pipeline Bargain

Decoupling meets the reality of China's pharmaceutical innovation economy

Market Access X

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Three recent transactions illustrate the commercial pull of Chinese pharmaceutical innovation. On October 5, AstraZeneca completed a $2 billion equity investment in Summit Therapeutics, the US company developing the oncology drug ivonescimab under license from China's Akeso. In July, BMS closed a collaboration with Hengrui that combines programs originating on both sides with joint development, with a $600 million upfront payment due in the third quarter. AstraZeneca has also disclosed a $1.2 billion payment to CSPC for obesity drug programs and access to its discovery and formulation capabilities. Each deal secures rights to, or a financial stake in, promising medicines while tying the buyer more closely to the Chinese partners on whom delivering them still depends.

Washington has repeatedly changed the conditions under which Chinese firms and technology can participate in the American economy. Beijing has demonstrated that it, too, intends to determine which capabilities can leave its jurisdiction. Pharmaceutical companies are committing capital between these competing claims of authority.

The question is therefore larger than whether a licensing deal is permissible today. Can a Western drugmaker meet tomorrow's conditions for access to the US market without losing access to the Chinese knowledge, services and production capabilities needed to deliver the medicine?

Executive Summary

A license secures rights to a medicine, not the knowhow, production capacity or regulatory freedom of action needed to proceed without the Chinese partner. Legal permission at signing therefore understates the investment problem, namely that the relevant exposure is the distance between the rights acquired and the independent capability a buyer would need if the terms of access changed.

Washington can change those terms in two ways. The more immediate route is conditional access, i.e. preserving a relationship while changing its price through tariffs, localization commitments or supplier restrictions. The alternative is a categorical security boundary. Precedents from connected vehicles, solar tax credits and communications equipment show how restrictions can follow a supplier or technology relationship even after production moves to the United States, while semiconductor controls show how they can extend to knowhow and services abroad. Policy on Chinese-origin medicines has not taken that step, and remains divided between an enacted procurement statute awaiting implementation, legislative proposals and reported deliberations.

Beijing, for its part, can also complicate either adjustment. A company may have contractual rights to a process without unrestricted permission to move the relevant technology, data or assistance out of China, and in October 2026 Beijing proposed widening its selective controls to biomedicine.

The three transactions examined here locate the exposure in manufacturing and supply (AstraZeneca–Summit), continuing development (BMS–Hengrui) and reusable discovery capabilities (AstraZeneca–CSPC). The public record shows what is at stake but not what replacing the Chinese contribution would cost, so the report sets out three pathways by which these dependencies could become commercial losses, followed by actionable takeaways and indicators to watch.

$2bn	$600m	$1.2bn
AstraZeneca equity investment in Summit, completed October 5, 2026	BMS upfront payment for the Hengrui agreements, due in the third quarter	AstraZeneca upfront payment to CSPC, made on closing in April 2026

1. The Risk Is a Moving Condition of Entry

The temptation in assessing a Chinese pharmaceutical deal is to ask whether Washington has conditioned, restricted or even prohibited it. That is a necessary legal question, but it does not resolve the underlying investment problem. A transaction can close under one set of rules while depending on development work, technology transfers or supply arrangements that must continue under another.

Drug development makes that distinction consequential. A pharmaceutical firm can commit capital well before it knows the final manufacturing arrangements, the full demands of later development or the conditions under which a successful product will reach the market. Policy interventions can introduce complications at any of those stages. The firm does not have to lose its intellectual property rights for the economics of its investment to deteriorate materially.

The relevant US precedents do not establish that pharmaceuticals will follow the precise path taken by, say, electric vehicles, solar equipment or communications devices. They establish a repertoire of interventions. Washington can target imports, eligibility for public support, the nationality or control of a supplier, the location of production, or the continuing transfer of expertise. Each applies to a different part of a supply chain.

That repertoire matters because corporate responses are usually designed around the restrictions already in place. A factory outside China addresses a geographic sourcing problem, but it may leave a technology-control problem exposed. Acquiring a license secures commercial rights but may leave manufacturing assistance, updates and development work dependent on the original counterparty.

Washington's repertoire: the precedents examined in this report

Precedent	Instrument	What it targets	Lesson for pharmaceutical firms
Pharmaceutical tariffs (Section 2)	Section 232 tariffs with negotiated relief	Imports of patented medicines and ingredients	Access can be preserved at a negotiated price that carries continuing obligations
Connected vehicles (Section 3)	Transaction restrictions	Hardware, software and manufacturers with a sufficient Chinese or Russian nexus	A restriction can apply even after production moves to the United States
Solar manufacturing (Section 4)	Tax-credit eligibility	Ownership, effective control, licensing and knowhow	A US factory can remain exposed through the relationships that allow it to function
Communications equipment (Section 4)	FCC equipment authorization	Named suppliers, production origin and specified components	Changing the brand or assembler may leave a restriction intact
Semiconductors (Section 5)	CHIPS guardrails, export controls and Foreign Direct Product Rules	Overseas expansion, licensing, US-person support and foreign-made items	Controls can extend to knowhow and services, and beyond US territory

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A Bargain With Two Governments

For pharmaceutical companies, the uncomfortable possibility is that the adjustment demanded by Washington requires cooperation that Beijing is entitled to regulate and may itself condition or restrict. Moving production can require process knowledge. Replacing a development partner can require access to information. Establishing a separate platform can require people and technical services as well as patents.

This report treats that possibility as a supply-chain and investment problem. The policy precedents establish mechanisms, the transactions establish dependencies, and the scenarios identify what further action would have to occur before those dependencies became commercial losses.

2. Trump's Bargain: Restrictions With a Negotiable Price

The Trump administration's pharmaceutical tariffs already demonstrate how Washington can make market access conditional on a negotiable price. The framework announced on April 2, 2026, remains in force, with implementation phased in during July and September. Its 100 percent default rate for covered patented pharmaceuticals and associated ingredients is qualified by country-specific rates, product exclusions and company agreements. Approved onshoring plans can secure a 20 percent rate, while qualifying arrangements combining onshoring and most-favored-nation pricing provide zero Section 232 tariffs through January 20, 2029. September implementation measures further clarified relief for specialty medicines and noncommercial research imports. The duties apply according to the origin of the imported product rather than the nationality of the licensor, so a Chinese-made ingredient or drug substance imported for commercial sale can be exposed unless the importer qualifies for one of these treatments. The commercial question is therefore which treatment a firm qualifies for, and what commitments it must deliver to retain it.

The framework gives commercial effect to a familiar political approach: impose broad restrictions, then offer relief in exchange for commitments the administration can claim as domestic achievements.

The benefits Washington seeks are concrete: production and research commitments in the United States, together with pricing concessions. These give the administration something tangible to announce, and they can favor firms with the financial resources and organizational capacity to negotiate and deliver a qualifying agreement. The terms of relief therefore become part of the competitive landscape. A negotiated agreement may preserve access while requiring commitments that alter the economics of the business, and the advantage it confers must last long enough to justify them.

Relief Does Not End the Exposure

The proclamation provides for monitoring and enforcement of commitments. Preferential treatment can therefore create continuing obligations rather than a permanent release from policy risk. A negotiated settlement may resolve an immediate tariff problem while introducing construction, investment or pricing requirements that affect future returns.

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A research exemption is not commercial relief

The September guidance exempts qualifying medicines and ingredients imported for clinical trials, research and other noncommercial uses from the additional Section 232 tariffs. But allowing a company to import a drug tariff-free during development does not mean its commercial supplies will receive the same treatment. Nor does an announced tariff agreement tell us which of the company's shipments actually qualify for relief.

The implication for pharmaceutical strategy is that lawful licensing and expensive market access can coexist. A company may retain its Chinese relationship while paying more to reorganize production around it. The question is not only whether an exception can be obtained, but whether the firm can perform what it promises in exchange.

3. A Security Boundary May Be Harder to Bargain Away

The Biden administration's connected-vehicle rule offers a different precedent. It restricts specified hardware, software and vehicle transactions with a sufficient Chinese or Russian nexus. The manufacturer restrictions can apply even to vehicles made in the United States. Software and manufacturer restrictions begin with Model Year 2027, while the hardware provisions have later implementation dates. The rule also allows authorizations for certain otherwise prohibited transactions.

This goes beyond a tariff on Chinese electric vehicles. A tariff changes the cost of an import, whereas a restriction tied to the supplier's jurisdiction or control can prevent the transaction even after assembly has relocated. The distinction matters for pharmaceutical firms assuming that an American manufacturing facility will necessarily satisfy Washington.

A similar approach to pharmaceuticals could extend beyond the location of a factory to the Chinese knowhow, development work or supply arrangements on which it still depends. The argument that such dependence creates a strategic vulnerability is already being made, with the policy debates increasingly encompassing clinical development, biologics manufacturing and the capabilities underpinning future innovation, alongside supplies of essential ingredients.

This is better understood as an expansive conception of national security than as an exclusively ideological position. Once policymakers regard the relationship itself as an unacceptable vulnerability, additional domestic investment may no longer be enough to secure continued access. The relevant test becomes whether the firm can operate without the Chinese contribution that Washington considers problematic.

That reasoning is not confined to either party. The bipartisan sponsorship of proposed biotechnology restrictions suggests that concern about dependence on China can support intervention under different administrations. The more useful distinction is between restrictions whose conditions can be satisfied through commercial commitments and restrictions that require firms to end or materially alter a particular relationship.

Where the connected-vehicle analogy stops

The analogy nevertheless has limits. Connected vehicles raise surveillance and remote-interference concerns that cannot simply be transposed to medicines. Pharmaceutical restrictions would require their own legal basis and justification, while an abrupt interruption of medically necessary supply could worsen the vulnerability Washington seeks to reduce. The precedent thus supports a plausible policy scenario, rather than an inevitable outcome.

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The Investment Horizon Matters

Where access remains negotiable, the questions concern the cost of obtaining relief and how long it can be relied upon. Where Washington requires a relationship to end, the question is whether the firm can replace the capabilities it would lose, within the time available.

A drug development program may outlast the administration with which a company reaches an agreement. Commitments made to secure relief today may therefore remain on the company's books after the political terms have changed. An agreement addressing tariffs does not in itself protect the firm from subsequent restrictions on licensing, technology transfers or collaboration. The investment case needs to account for that possibility.

4. Solar and Connected Devices: Location Is Only One Test

Solar manufacturing shows why building a factory in the United States may not be enough to satisfy Washington. In December 2025, T1 Energy disclosed a restructuring of its relationship with China's Trina designed to preserve access to US tax credits after changes to the law. The arrangements removed Trina's board nomination rights, introduced a replacement licensor and revised provisions governing intellectual property and other commercial ties.

The pressure in this case came through eligibility for tax credits. Washington did not need to prohibit Chinese investment outright to give the company a reason to reorganize the relationship. T1 Energy's disclosures show the commercial response, although they do not establish that the restructuring has secured government acceptance of every aspect of the arrangements.

Effective control looks behind ownership

The statutory definition of effective control, summarized in IRS Notice 2026-15, helps explain why changing ownership or moving production may leave the underlying exposure intact. It can extend to contractual rights over production, sourcing and intellectual property, including a license that does not give the licensee all the technical data and knowhow needed to produce without the licensor's further involvement. That condition applies to licenses entered into or modified on or after July 4, 2025, and the Notice leaves the detailed treatment of effective control to future regulations. Depending on the applicable provisions and contract terms, a US facility can therefore remain exposed through the relationships that allow it to function.

For pharmaceutical firms, the implication is straightforward. Owning an American factory does not necessarily mean being able to operate it independently of a Chinese partner, and commercial pressure can arise well short of an outright prohibition. If access to markets, federal research funding or other public benefits depends on reducing Chinese involvement, firms may have to change more than the location of production. They may also have to replace the knowledge, assistance or contractual arrangements on which production depends, even where no workable alternative is available within the time Washington allows.

Production Origin Can Also Become the Test

The FCC's approach extends beyond drones and routers to telecommunications equipment, surveillance systems and certain components incorporated into other manufacturers' devices. These measures use different tests. Some target equipment from named Chinese suppliers; others depend on where production takes place, and apply to foreign-produced equipment generally rather than to Chinese equipment alone. More recent rules also cover specified digital hardware components from listed suppliers, meaning that changing the brand or assembler may leave the restriction intact. Washington can therefore make market access depend on several layers of the supply chain, rather than simply the nationality of the company selling the finished product.

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For pharmaceutical investors, the relevance is that the decisive consideration may be where production takes place, who controls the supplier, which rights a foreign partner retains or what commitments the company makes in exchange for continued access. A corporate structure designed to satisfy one requirement may therefore leave the firm exposed to another. Appointing a supplier with a US address does not settle the matter; firms also need to establish whose technology that supplier uses, what assistance it still requires and whether those relationships satisfy the conditions Washington has imposed.

5. Semiconductors: Control Extends Beyond the Product

Semiconductor controls show how far Washington's controls can extend into the activities that underpin an industry, from factory construction and technology licensing to the manufacturing knowhow and operational support needed to sustain production. For pharmaceutical firms, acquiring rights to a medicine may leave these activities dependent on continuing cooperation with a Chinese partner.

The CHIPS funding guardrails demonstrate how accepting US support can constrain a company's wider operations. Recipients face ten-year restrictions on specified manufacturing expansions in China and other countries of concern, subject to exceptions for certain legacy production. The guardrails also restrict specified joint research and technology licensing with foreign entities of concern, with protection for qualifying preexisting arrangements, although Commerce can still require such activities to cease as a condition of funding. These conditions extend beyond the use of the subsidy itself, and violations can trigger recovery of the full award.

Pharmaceutical policy contains related measures. The proposed PILLS Act would exclude foreign entities of concern from tax credits for domestic generic-drug and biosimilar manufacturing, while BIOSECURE establishes restrictions on covered federal procurement and uses of loan or grant funds, subject to implementation and transition provisions. Neither replicates the CHIPS ten-year constraint on overseas expansion. A closer pharmaceutical equivalent could make support for an American facility conditional on limiting Chinese investments or collaborations elsewhere in the business, including activities financed with the firm's own money.

Export controls operate independently of whether a company receives public support. Alongside controls on equipment, software and technology, US rules impose licensing requirements on specified activities by US persons supporting advanced semiconductor production. These can include facilitating certain equipment transfers or providing servicing, even where the equipment itself is not subject to US export controls. Coverage depends on the activity, destination, facility and equipment involved; it is not a general prohibition on employing Chinese staff or working for a Chinese company.

Washington has also extended the scope of its controls beyond American territory. Foreign Direct Product Rules can make specified foreign-made items subject to the Export Administration Regulations through their connection to controlled technology or software, including through production equipment. When the applicable conditions are met, transactions between foreign companies can require US authorization even though the item never enters the United States. Moving production offshore does not necessarily remove this exposure, although using American equipment or software does not by itself establish coverage.

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A plausible extension, not an established restriction

If Washington adopted similarly targeted controls relevant to pharmaceuticals, work undertaken by a European partner or an Asian contract manufacturer could become dependent on US permission. A drug license might remain permissible while restrictions affected an overseas supplier, transfers of manufacturing knowhow or contributions to a shared research platform. The distinction would be between retaining the right to commercialize a medicine and retaining the regulatory freedom of action needed to develop and produce it. This is a plausible extension of the semiconductor approach, not an established blanket restriction on pharmaceutical collaboration.

The commercial consequences would depend on how essential the restricted activity was and whether a workable alternative existed. Firms might need to reallocate development work, replace a supplier or renegotiate commitments, with costs and delays that require asset-specific evidence.

What the Outbound Program Actually Does

Treasury's outbound-investment program regulates specified transactions by US persons involving covered foreign persons engaged in defined semiconductor, quantum and artificial-intelligence activities. Depending on the transaction and activity, it requires notification or prohibits the investment. It is not a general review of every purchase from China. Treasury states that the existing rules continue pending regulations implementing the enacted COINS legislation, and its first civil penalty under the program, announced on October 7, 2026, shows that the rules are being enforced.

Treasury's guidance also distinguishes technology licensing from a covered transaction. Licensing or services can fall outside the program when they do not constitute a covered transaction, subject to the rule's conditions and anti-evasion provisions, but an equity investment, joint venture or other covered structure cannot be assessed merely by calling the overall arrangement a license. Equally, a drug-discovery platform described as using AI is not automatically covered by the AI rules. The exposure resides in the activities the parties need to continue, rather than the label on their deal.

6. Biotechnology Policy Remains Unsettled

Washington's approach to biotechnology is developing through several distinct channels, each with different implications for pharmaceutical firms. BIOSECURE is already law, but its restrictions operate through company designations and implementation measures governing federal contracting and funding. None of its prohibitions is yet operative: the list of biotechnology companies of concern is due in December 2026, followed by implementing guidance and transition periods. It does not impose a blanket ban on private licensing of Chinese-origin medicines, nor does a counterparty's Chinese identity make every transaction with it prohibited.

The proposed Biotech Investment National Security Act (BINSA) would extend further to biotechnology transactions, including licensing and transfers of capabilities, by adding biotechnology to the technologies covered by the COINS outbound-investment framework. The House and Senate texts remain legislative proposals rather than operative restrictions. They indicate where some lawmakers want policy to go, but firms should not treat their provisions as obligations already in force.

The administration may take a narrower approach. Recent reporting indicates that Treasury is drafting rules that would preserve most pharmaceutical licensing while restricting biotechnology with potentially weaponizable or pathogen-related applications. Those discussions suggest that

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Washington could distinguish access to medicines from activities that develop sensitive capabilities, without establishing that pharmaceutical licensing has secured a lasting exemption.

For firms and investors, the absence of a final restriction is no reason to disregard the direction of policy. Proposals can influence investment decisions and the terms on which companies are willing to collaborate well before they become law. The task is to identify what would have to happen next for that political pressure to constrain a particular relationship, whether through legislation, implementing rules, a company designation or an agency decision.

Three strands of US biotechnology policy

Measure	Status	What it covers	What it does not establish
BIOSECURE	Enacted	Federal contracting and uses of loan or grant funds, through company designations and implementation measures	A blanket ban on private licensing of Chinese-origin medicines
Biotech Investment National Security Act	Proposed in the House and Senate	Biotechnology transactions, including licensing and transfers of capabilities	Obligations already in force
Reported executive approach	Treasury rules in draft, according to reporting	Preserving most pharmaceutical licensing while restricting weaponizable or pathogen-related biotechnology	A lasting exemption for pharmaceutical licensing

Access to Federal Contracts Is Only Part of the Picture

Losing access to federal contracts can materially affect a pharmaceutical business without preventing it from selling to private customers. Equally, remaining eligible for those contracts does not settle whether the firm can import on commercially viable terms, transfer technology or continue working with a Chinese partner. These restrictions arise under different authorities, but their effects can accumulate within the same commercial relationship.

Data transfers present a similar problem. Specific exemptions under US data-security rules can accommodate qualifying clinical and regulatory exchanges, while Chinese requirements depend on the information being transferred and the activities involved. A firm cannot assume that permission to conduct a trial or submit regulatory evidence gives it unrestricted access to every dataset needed to develop and commercialize the medicine.

The absence of a blanket US prohibition on pharmaceutical licensing therefore answers only part of the investment question. Firms still need to establish whether the supply arrangements, investment commitments and exchanges of knowledge and data supporting a deal can continue. That means assessing the restrictions already in force alongside proposals that could change what the parties are able to deliver in future.

7. Beijing Also Decides What Can Leave

US policy is only half of the adjustment problem. China's technology-export system distinguishes prohibited, restricted and freely exportable technologies, with different procedures. The underlying framework extends beyond physical products to intellectual-property licensing, knowhow and technical services. A private contract does not remove the need to consider the relevant regulatory category.

The catalogue is selective. The 2023 version prohibits specified rare-earth processing technologies and contains specified biotechnology entries, including newly prohibited human cell cloning and gene-editing technologies. It does not prohibit the export of all pharmaceutical

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innovation. The July 2025 revision added restrictions involving specified battery-material and lithium-processing technologies, illustrating Beijing's willingness to retain control over commercially valuable production knowledge.

Beijing's toolkit now also includes a general outbound-investment regime. The State Council's Regulations on Outbound Investment (Order No. 837), in force since July 1, 2026, provide for security review of outbound investments that affect national security and bar unauthorized exports of restricted technologies, services and data, including indirect transfers through staff assignments, technical support or training. Detailed procedures and filing thresholds have not yet been published, and a cash license may fall outside the investment review altogether. Beijing also has reasons to welcome out-licensing, which brings revenue and international validation to Chinese innovators. The question is therefore less whether China will obstruct these deals than whether it will condition the transfers that a Western relocation plan would later require.

That distinction between exporting a product and exporting the means of making it is central to pharmaceutical supply chains. China could continue supplying a medicine while limiting the transfer of a particular production capability, if an applicable measure supported that treatment. That is an analytical possibility, not an identified restriction on the medicines examined here.

Beijing's October 2026 proposal gives that distinction concrete form in biomedicine. On October 16, MOFCOM and MOST proposed adding five biomedicine technologies to the catalogue, with comments due by November 15. Proprietary cell and gene therapy and siRNA process platforms, defined as reusable technologies that support the development of several drugs, would be prohibited from export, together with gain-of-function and related pathogen technologies. Discovery and validation of novel cell and gene therapy and siRNA targets would be restricted. The prohibition on platforms covers only transfers of ownership. Licensing, contract research and contract manufacturing fall outside it, as does the technology needed to develop, test, produce, approve and maintain regulatory compliance for a specific product in a cross-border transaction, and licensing of the restricted target technologies would be eligible for automatic licensing. In the meantime, exporters must register with MOFCOM before transferring ownership of a listed technology, licensing it abroad or allowing a foreign entity to become its owner or actual controller, including exports already under way. Registration is a filing, not an approval.

The proposal does not cover antibodies, small molecules, peptides or formulation technology, and the disclosures examined here do not indicate that any of the three transactions involves the listed modalities. Its significance lies in its design. Beijing has codified the distinction this report draws between a product and the means of making it, and has resolved it in favor of product licensing while retaining control over platform ownership and changes of control.

Manus Shows the Limits of an Offshore Structure

On April 27, 2026, China's foreign-investment security-review office announced that Meta's acquisition of Manus, which had moved its headquarters to Singapore, was prohibited and ordered the parties to unwind it. The short official statement does not establish a general doctrine covering every Chinese-origin technology wherever it is subsequently held. It does demonstrate willingness to intervene in a technology acquisition and require reversal.

The lesson for pharmaceutical deal structuring is to test the relevant Chinese connections rather than assume that an offshore company or foreign buyer settles them. What matters can include the entity, the activity, the technology and the transfer still required. The legal basis must be established for the particular transaction.

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A suspended package is not an operative one

The status of China's rare-earth measures also requires care. The October 2025 rare-earth and critical-minerals export-control package included additional restrictions, but Announcement 70 of 2025 suspended specified measures, including Announcements 61 and 62, through November 10, 2026. On September 28, 2026, MOFCOM said that its trade arrangements with the United States had been extended to January 10, 2027, which is widely expected to carry the suspension forward, although no amending announcement had been published by this report's research cut-off. That suspension does not erase the separate technology-export catalogue. Treating the suspended package as operative on this report's date would overstate the current position.

Beijing's capacity to tighten control is therefore relevant without assuming that it has already prohibited the transactions under discussion. The risk to a Western buyer is greatest where its plan for satisfying Washington still requires a transfer that China can withhold, condition or delay.

8. Knowledge Is Part of the Supply Chain

A pharmaceutical supply chain depends on more than a reliable flow of ingredients and finished medicines. It also relies on manufacturing knowhow, testing methods, reference materials, development data and the operational support needed to establish production elsewhere. What a firm needs will differ from one medicine to another, but a contractual entitlement to these inputs does not mean they have been transferred or can already be used independently of the Chinese partner.

This is where Washington's demands can run up against Beijing's controls. The United States may offer incentives to relocate production while China regulates the transfer of the knowledge needed to make that relocation possible. Firms can consequently face a deadline for reducing Chinese dependence before they have a workable alternative in place.

Regulatory requirements can further complicate the adjustment. FDA guidance calls for evidence to assess whether manufacturing changes affect a biological product's quality, safety or efficacy, with the work required depending on the circumstances. Building or appointing an alternative facility is therefore only part of the task. The firm must also establish that it can produce the medicine there to the required standard and satisfy the applicable regulatory requirements before relying on that facility for supply.

Three Forms of Independence

Legal independence	Operational independence	Regulatory freedom of action
Possessing the rights to undertake an activity.	Having the people, information and capacity to perform it.	Having the permissions needed to pursue the proposed route.

A company can possess one form of independence without the others. The distinction matters when management describes an alternative manufacturer. A contractual right to manufacture internally or appoint a third party is valuable. Its practical value depends on the transfer package, the alternative's readiness and the relevant regulatory steps. None can be assumed from the existence of a clause alone.

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An authorized route and an executable one

This also identifies the limits of a tariff settlement. An agreement with Washington may improve the economics of domestic production without securing the Chinese partner's performance. An export permission from Beijing may allow a transfer without establishing that the receiving facility can use it successfully. The company needs both an authorized route and an executable one.

For investors, the material question is how much of the investment case assumes that route will remain open. A development program with a completed transfer and a usable alternative presents a different exposure from one relying on future assistance. Public disclosures do not always reveal the difference.

9. Three Transactions, Three Continuing Dependencies

The deals establish why these policy mechanisms matter commercially. They should not become substitutes for the policy analysis, nor be mistaken for three versions of the same exposure.

Summit and Akeso: Delivery Behind the Rights

AstraZeneca's $2 billion investment is in Summit, not a license payment to Akeso. Summit's filings and license disclose an ongoing supply and manufacturing relationship with Akeso and provisions for manufacturing assistance. They also contemplate Summit or a third party manufacturing under the relevant arrangements. Summit also reports progress in transferring manufacturing knowhow to third parties, while disclosing that it may continue to depend on Akeso for knowledge transfer relating to manufacturing improvements. These rights and steps reduce dependence in principle, but they do not establish that an alternative operation is either up and running or poised to start production at scale.

Rather, the disclosed exposure is continuing access to supply and production knowledge behind a Western development strategy. A restriction affecting those activities could require an alternative route. Based on publicly available information, it is not possible to quantify the cost or accurately predict the duration of such a change. Completion of AstraZeneca's investment also does not establish that every subsequent regulatory step has been completed, with conversion of its preferred shares remaining subject to expiry of the HSR waiting period and a charter amendment increasing Summit's authorized shares; if the amendment is not effective within 18 months, Summit must redeem the shares for cash. AstraZeneca's exposure is therefore indirect, as a shareholder and clinical-collaboration partner rather than a licensee. It also becomes more immediate with the FDA decision on ivonescimab due by November 14, 2026: clinical supplies are exempt from the Section 232 tariffs, but commercial imports of Chinese-made drug substance would not automatically receive the same treatment.

BMS and Hengrui: Development in Both Directions

BMS and Hengrui's collaboration combines programs originating on both sides with joint development arrangements. BMS reported that the agreements closed in July and that the $600 million upfront payment was due in the third quarter. Its filing separately describes later conditional payments and milestones. The disclosed payment obligation does not establish that the money has already changed hands.

The exposure lies in what each party must continue contributing. Washington could preserve access to a medicine while restricting the transfers of knowhow or collaborative work needed to develop it. At the time of writing, the available evidence does not establish that such restrictions have interrupted these programs or caused delays. Nevertheless, the direction of policy warrants

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close attention from in-house compliance and strategy teams, particularly where the next development milestone depends on continued cooperation.

AstraZeneca and CSPC: Assets and Capabilities

AstraZeneca's agreement with CSPC gives it access to obesity drug programs as well as discovery and formulation capabilities, with CSPC responsible for specified early development work. AstraZeneca's half-year results disclose a $1.2 billion upfront payment, made when the deal closed in April 2026, putting substantial capital behind a relationship that still requires the Chinese partner to deliver. That payment should be distinguished from headline deal values that include milestones payable only if specified conditions are met.

The strategic question is how much of the agreement's value depends on CSPC's continuing contribution, and whether that contribution could be constrained by future restrictions. Moving production of a finished medicine would not necessarily replace the discovery, formulation or development capabilities on which the program depends. Equally, the description of a platform does not, by itself, establish that it falls within a restricted technology category.

On the public record, the near-term exposure appears greatest for AstraZeneca–Summit, where a single Chinese source of drug substance supports a medicine approaching a US approval decision; intermediate for BMS–Hengrui, whose programs depend on continuing contributions in both directions; and lowest in the near term for AstraZeneca–CSPC, where the upfront payment has been made and the risk lies mainly in future discovery and development work. This is an ordinal judgment, not a valuation.

Three transactions at a glance

Transaction	Capital disclosed	Continuing dependency	Not established by the public record
AstraZeneca–Summit (Akeso)	$2 billion equity investment in Summit, completed October 5, 2026	Supply and production knowledge from Akeso	That an alternative manufacturing operation is running or ready to produce at scale
BMS–Hengrui	$600 million upfront payment, due in the third quarter	Development work and knowhow contributed in both directions	That the payment has changed hands, or that restrictions have interrupted the programs
AstraZeneca–CSPC	$1.2 billion upfront payment, made on closing in April 2026	Discovery, formulation and early-development capabilities	That the platform falls within a restricted technology category

10. Three Paths From Exposure to Impact

The following are scenarios, not predictions or descriptions of restrictions already applied to these transactions. They show which policy changes would make the identified dependencies financially material.

01 Negotiated Localization

Washington preserves licensing while making more favorable access conditional on US manufacturing, research or pricing commitments. The relevant trigger is an applicable tariff decision or agreement whose benefits depend on performance. The firm's task is to establish whether its Chinese relationship can support the promised adjustment.

Potential consequences include additional capital expenditure, duplicate capacity and a different margin profile. Some firms could gain an advantage from relief that competitors cannot secure or deliver. A tariff rate is not automatically the same percentage reduction in company value.

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02 A Broader Security Boundary

Washington adopts a restriction ~~reaching~~covering a defined licensor, supplier, technology or continuing relationship. The trigger would be the actual legal measure and its coverage, including treatment of existing agreements, authorizations and transition periods. A proposal alone is insufficient.

If the relevant relationship becomes impermissible, relocation may not cure the problem. The company could need a different supplier, a narrower collaboration or an alternative development route. Whether that produces delay or asset impairment depends on the restricted activity and the alternatives already available. This path is consistent with the connected-vehicle precedent without assuming that medicines will receive the same treatment.

03 An Adjustment Beijing Will Not Freely Authorize

The buyer seeks a transfer out of China to satisfy US requirements, but a Chinese rule or decision conditions or prevents it. The trigger is an applicable technology classification, licensing decision or other legal restriction. China's general capacity to act does not prove that any particular transfer needs approval or will be refused.

Beijing's October 2026 proposal narrows this path for licensed products. In cell and gene therapy and siRNA, it leaves the technology needed to develop and produce a specific product outside control, while prohibiting transfers of platform ownership and requiring registration of changes of control. The path is therefore most relevant where the buyer's plan requires the platform itself, a change of control, or a capability in a field the proposal does not address.

The result could be a mismatch between a US commitment and the means of performing it. A longer timetable, a different technical route or renegotiated obligations might resolve the problem. In a more severe case, the intended separation could become commercially unattractive.

Identify which condition has failed

The pathways can combine. Washington may offer relief that assumes a transfer Beijing will not authorize. Conversely, both governments may allow the activity and the remaining obstacle may be technical or commercial. The analysis must identify which condition has actually failed before attributing a loss to policy.

Keep Three Financial Categories Separate

Consideration paid	Contractual obligations	Maximum milestones
Establishes capital committed.	Establish potential future payments, subject to their conditions.	Describe contingent possibilities.

Adding all three together as money at risk from a single policy event overstates what the documents show. The same applies to valuation. A supply interruption may affect the timing of expected receipts. A manufacturing relocation may affect costs. A restriction on future collaboration may affect the scope of a pipeline. These are different channels and should be modeled separately before considering any combined effect.

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Evidence gaps, not zero-risk findings

The selected public records do not provide a defensible asset-specific estimate of replacement costs, policy-related development delays or valuation losses. They also do not establish that the chosen partners have been denied a necessary Chinese technology-export permission or that the selected programs have been prohibited by a new US licensing rule. Those are evidence gaps, not zero-risk findings.

Contractual protections still matter. Assistance, termination and alternative-manufacturing provisions can improve a buyer's position. They do not compel a government to authorize performance, guarantee a refund or establish that the alternative will be available when needed.

11. The Pipeline Bargain Can Be Repriced After Signing

Western pharmaceutical companies can have sound commercial reasons to acquire Chinese innovation while Washington considers restricting the relationships that make those acquisitions useful. There is no contradiction. Firms are buying access to potential medicines and capabilities. Governments are deciding which forms of dependence they are prepared to tolerate.

Under a transactional approach, Washington can seek domestic investment, pricing commitments or other concessions in exchange for continued access, and the investment question is the cost and durability of the resulting arrangement. Under a more categorical and expansive security approach, the firm may need to show that a specified relationship has ended or that the relevant capability can operate independently; greater investment in the United States may be useful without being sufficient. A long-lived development program must be assessed against both.

Beijing has its own interests in retaining valuable capabilities and controlling their transfer. A Chinese company's commercial willingness to license a medicine does not settle every subsequent question about moving knowledge, data or production assistance. That is where an American condition of entry can meet a Chinese condition of exit.

Whether the dependencies identified here translate into commercial losses down the road will depend on Washington's appetite for designing and imposing new restrictions, tempered by drug-shortage and patient-access concerns, Beijing's response, and what each firm still needs its partner to deliver.

The report's central judgment is therefore that legal permission at signing understates the investment problem. The relevant exposure is the distance between the rights a buyer has acquired and the independent capability it would need if the terms of access changed.

Companies cannot eliminate that distance by relabeling a Chinese relationship as an American investment, or by treating a future factory as an operational substitute. They can reduce it by establishing which transfers are complete, which permissions remain necessary and which alternatives are genuinely usable. That is the evidence that should determine how much confidence investors place in the pipeline bargain.

Actionable Takeaways

Each of the following is a concrete step, not a general orientation. None assumes that a particular restriction will be adopted; each reduces the risk of discovering a dependency only after the terms of access have changed.

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01 Map what the partner must still deliver

For each program, identify the activities still required of the Chinese partner before the next development milestone or commercial launch: supply, manufacturing assistance, development work, data and technical services. Record where each takes place and who controls it. A deal's headline value says less about its exposure than this inventory.

02 Test the alternative, not the clause

Treat a right to manufacture internally or appoint a third party as the start of the analysis, not its conclusion. Establish whether the transfer package is complete, whether the alternative site has the people and knowhow to perform, and what evidence regulators will require before that site can supply the medicine. Apply the same test to development collaborations: which activities can continue independently, and which still depend on the Chinese partner?

03 Price tariff relief as a continuing obligation

Before accepting onshoring or pricing commitments in exchange for relief, establish which entities and products benefit, for how long, and what happens if the firm cannot deliver. Confirm that the Chinese relationship can support the promised adjustment. Relief from tariffs does not protect the firm from later restrictions on licensing, technology transfer or collaboration.

04 Confirm Beijing's position before committing to a US plan

Where a localization or separation plan depends on moving knowhow, data or technical assistance out of China, establish the relevant technology-export classification and any approval required before making an irreversible commitment. An authorized route is of limited value without an executable one, and the reverse is equally true.

05 Keep financial categories and channels of loss separate

Distinguish consideration paid, contractual obligations and maximum milestones. Model supply interruption, relocation cost and narrower collaboration as separate channels before considering any combined effect. Where the public record does not support an estimate, keep the uncertainty explicit rather than applying a uniform policy discount.

06 Assess each program against both policy approaches

A development program may outlast the administration that granted relief. Test whether the investment case holds under a transactional approach, where access carries a negotiated price, and under a categorical one, where the relationship must end or the capability must operate independently.

Indicators to Watch

These are operational triggers: observable developments that would move the scenarios in this report from analysis toward commercial consequence.

01 Whether BINSA advances beyond introduction

Committee action, floor votes or the incorporation of the House or Senate text into broader legislation would signal that licensing and transfers of capabilities could become regulated transactions. The treatment of existing agreements and transition periods in any enacted text would matter as much as its scope.

02 Whether the administration formalizes a narrower approach

Publication of Treasury's reported rules, or another rule or order, preserving most pharmaceutical licensing while restricting weaponizable or pathogen-related biotechnology

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would show where Washington draws the line, and on which side discovery platforms and other reusable capabilities fall.

03 BIOSECURE designations and implementing measures

The list of biotechnology companies of concern due in December 2026, together with implementation guidance, will determine which counterparties are affected in federal contracting and funding. A designation of a Western licensee's partner would show how procurement restrictions interact with the commercial relationship.

04 The performance terms of company-specific tariff agreements

Disclosure of onshoring plans, pricing commitments and enforcement under the Section 232 framework will indicate what relief actually costs and how strictly commitments are monitored. Zero-tariff treatment for qualifying arrangements runs through January 20, 2029, a fixed point in that timetable.

05 Beijing's technology-export decisions

The final form of the biomedicine entries proposed for the technology-export catalogue on October 16, 2026, including any extension to further modalities and how registration and automatic licensing operate in practice, the treatment of the suspended October 2025 measures after November 10, 2026 (or January 10, 2027, if the extended trade arrangements carry the suspension forward), the first security reviews of pharmaceutical transactions under the 2026 outbound-investment regulations, and any intervention in a pharmaceutical transaction comparable to the Manus decision would indicate whether Beijing intends to condition the transfers on which Western relocation plans depend.

06 Evidence of operational independence in the three transactions

Disclosures confirming completed technology transfers, qualification of alternative manufacturing sites, payment of the BMS upfront amount and satisfaction of the conditions governing conversion of AstraZeneca's preferred shares in Summit would narrow the distance between the rights acquired and the capability to use them independently. The FDA decision on ivonescimab, due by November 14, 2026, will also show how Summit's commercial supply is sourced and how it is treated under the Section 232 framework.

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